

6. The management must be open, innovative and must also have a strategy. It must be prepared to change when required. It must essentially know where it is going and have a plan of how to get there. It must be receptive to ideas and be dynamic. A company that has many layers of management and is top heavy tends to be very bureaucratic and ponderous. There are “many chiefs and few braves”. They do not want change and often stand in the way of change. Their strategy is usually a personal one, on how to hold onto their jobs.
7. I would not recommend investing in a company that is yet to professionalize because in such companies decisions are made on the whims of the chief executive and not with the good of the company in mind. In such companies the most competent are not given the positions of power. There may be nepotism with the nephews, nieces, cousins and relatives of the chief executive holding positions not due to proven competence but because of blood ties.
8. It would be wise, too, to avoid investing in family controlled companies where there is infighting because the companies suffer and the one who arguably stands to lose the most is the shareholder or the investor. In recent years, many such family controlled companies have split, the Birlas, the Goenkas, the Mafatlals, to name but a few. The period before the split and the period soon after are the most unsettled times. That is the time to keep away from such companies. When the new management settles down, one can determine whether one should invest or not.

In India, many of the larger companies are family controlled though they are managed on a day-to-day basis by professional managers. There are also several professionally managed companies. It is not possible, nor would it be fair, to generalize which is better. An investor must, before he risks his money, decide whether he is comfortable with the management of a company. Ultimately, this is what will determine the safety and the fate of the money that you invest.